Northwind Logistics, Inc.

Q2 FY2025 ? Q3 FY2025

Ninety days after a beat-and-raise built on pricing visibility, Northwind cut FY2025 revenue and EPS guidance, withdrew the FY2026 mid-87s operating ratio target, and saw tonnage fall 4.3% versus a flat-to-down-2% plan.

DETERIORATING

From Neutral (record Q2 OR and a raise, offset by candid flags on June tonnage and wage/yield spread) to Bearish (guidance cut, FY2026 target withdrawn, tonnage decline accelerating into October with management explicitly refusing to call a bottom). The Q2 caveats became the Q3 reality within one quarter.

WHAT CHANGED

Metric	Q2 FY2025	Q3 FY2025	Direction
Revenue (YoY growth)	$1.42B, +8.4% (+9.6% ex-fuel)	$1.39B, +0.7% (+1.4% ex-fuel)	DOWN
	Growth effectively vanished in one quarter; ex-fuel growth collapsed from 9.6% to 1.4% as volume declines overwhelmed price.		
Tonnage per day (YoY)	+3.1% (June exit -2%)	-4.3% (September -5.6%, October tracking in line)	DOWN
	A 740bp swing. Management admits ~$40M of annualized walked-away revenue contributed, but the bulk is industrial destocking that was 'deeper and broader' than customers signalled.		
Operating ratio	88.4%, -80bps YoY (record Q2)	89.8%, +140bps YoY	DOWN
	From best-ever Q2 to a 140bp deterioration on volume deleverage across a largely fixed terminal network, plus insurance/claims +12% YoY — a cost line not flagged in Q2.		
Adjusted EPS	$1.86, +11.4% YoY	$1.71, -4.5% YoY	DOWN
	Earnings turned negative YoY. GAAP EPS $1.63 includes $9M of San Antonio deferral costs.		
FY2025 guidance (revenue / adj. EPS)	$5.75–$5.85B / $7.10–$7.40 (raised)	$5.55–$5.65B / $6.60–$6.85 (cut)	DOWN
	~$200M revenue and ~$0.50 EPS taken out at both ends. Guidance was raised and then cut within a single quarter — a direct credibility hit Whitfield acknowledged: 'I own that the guidance was too optimistic on volume.'		
Yield (rev/cwt ex-fuel) vs. driver wage inflation	+5.2% yield vs. ~6% wages; back-half renewals at high-single-digit	+5.1% yield actual, Q4 guided ~4.5% vs. ~6% wages; renewals moderating from high-single-digit	DOWN
	The spread widened against the company. Pricing held in Q3 but the forward yield assumption fell ~70bp while wage inflation was unchanged — Lee now calls this a structural, not cyclical, headwind.		

GUIDANCE CHANGE

Cut, hard. FY2025 revenue lowered to $5.55–$5.65B from $5.75–$5.85B and adjusted EPS to $6.60–$6.85 from $7.10–$7.40 — reversing July's raise and landing below the pre-raise $5.65–$5.80B / $6.95–$7.30 base. Underlying assumptions worsened on both axes: Q4 tonnage now -4% to -6% (was flat to -2% for the remainder of the year) and yield ~4.5% (was mid-single-digit with high-single-digit renewals). Capex cut to $360M from $410M with San Antonio pushed to FY2026. The FY2026 mid-87s OR target was explicitly not reaffirmed, deferred to January.

TONE OF MANAGEMENT

From confident-with-caveats to contrite. In July Whitfield framed the raise as 'fundamentally a yield story, not a volume story' and Lee cited a 'path to the mid-87s next year'; in October Whitfield opened with 'the third quarter was difficult, and I want to start by being direct about it' and conceded 'I own that the guidance was too optimistic on volume.' Lee shifted from 'we are watching that closely' on the wage/yield gap to labelling it 'a structural headwind that doesn't depend on the cycle... that's the honest picture, and it's a large part of why we're not reaffirming the fiscal 2026 target.' Notably, the pricing-discipline stance softened at the margin: Whitfield now says thresholds are under lane-by-lane review and the company 'may be more flexible' in low-density lanes — a crack in the July posture of walking away from freight without hesitation.

NEW RISKS THIS PERIOD

1. Insurance and claims expense up 12% YoY on higher accident severity — a cost line absent from Q2 commentary now contributing to OR deterioration.
2. Withdrawal of the FY2026 mid-87s operating ratio target with no replacement until January guidance, removing the anchor for out-year earnings models.
3. No visibility on trough: October tonnage running in line with September's -5.6%, and Q4 guides to -4% to -6%, implying no sequential improvement.
4. Capital allocation is now defensive — capex cut to $360M from $410M, San Antonio deferred, buybacks cut from $75M to $20M, net leverage up to 1.4x from 1.2x.

RISKS NO LONGER EMPHASIZED

1. Last-mile profitability doubt: segment hit 0.4% operating margin with management stating there was nothing one-time in it.
2. Customer concentration escalation: top ten held flat at 31% of revenue rather than ticking up as guided in Q2.
3. Laredo terminal execution: opened in September with cross-border volumes in line with plan.

WHAT TO WATCH NEXT QUARTER

1. Whether tonnage declines trough — Q4 guides to -4% to -6% with October already tracking at September's -5.6%; any print worse than -6% breaks the revised guide.
2. The wage-versus-yield spread: Q4 yield guided to ~4.5% against ~6% driver wage inflation, and whether renewal pricing moderates further as competitors discount.
3. The FY2026 operating ratio framework due in January — how far below the withdrawn mid-87s target it lands, and whether San Antonio slips again or capex is cut further.